

A similar though less striking picture is presented by the Chicago, Burlington & Quincy, which during the years 1922 to 1929, inclusive, earned substantially more than it paid out in dividends. This was especially true in the years 1924, 1928, and 1929, although the situation was reversed and dividends in excess of earnings were paid in 1930, 1931, and 1932. The Great Northern Ry. Co. and the Northern Pacific Ry. Co. each owns about 48% of the Burlington common.

NOTE 25

For examples of enterprises wholly or partially industrial in character but masquerading under the "public utility" title see: United Public Service Co., organized in 1927 and engaged in the electric light and power, natural and artificial gas, ice plant and cold storage businesses; Southern Ice & Utilities Co., organized in 1916 and engaged in the ice, ice cream, creamery, and cold storage warehouse businesses; The Utilities Service Co., organized in 1928 to acquire and operate 20 telephone companies in small towns and four ice companies in large towns or cities; Central Atlantic States Service Corp., organized in 1928 and engaged in the ice, coal, and cold storage businesses; Westchester Service Corp., organized in 1928 and engaged in the coal, ice, fuel oil, and building-supply businesses; National Service Cos., organized in 1928 as a holding company for enterprises of the Westchester Service Corp. type, engaged in the ice, fuel, and allied industries. Examination will reveal that these companies had capital structures of the public-utility type despite the fact that their operations were largely or wholly industrial in character.

Some of these companies are still in existence in substantially their original form, but most of them have encountered financial difficulty and been reorganized. United Public Service Co. was reorganized in 1934 as United Public Service Corp. Southern Ice & Utilities Co. changed its name in 1938 to Southern Ice Co. Utilities Service Co. entered receivership in 1930 and was reorganized in 1933 under a plan whereby the telephone business was segregated from the industrial divisions. Central Atlantic States Service Corp. was reorganized in 1934, and its properties taken over by Cassco Corp. Westchester Service Corp. was reorganized in 1936 under Section 77B of the Bankruptcy Act. National Service Cos. has preserved its original identity.

NOTE 26

At various times the Investment Bankers Association of America has commented through its several committees upon the impropriety of bond circulars which either omit reference to depreciation entirely, or else conceal the actual amount